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Executive Summary

Geopolitics in 2026 refers to the strategic competition among major states and blocs over technology, resources, trade routes, and institutional influence. The dominant frame among decision-makers centers on systemic rivalry between the United States and China, the restructuring of supply chains around security considerations, and the fragmentation of international governance institutions.

This brief documents how key actors are reasoning about geopolitical risk at this moment in time. It does not predict outcomes or recommend courses of action. Instead, it records the assumptions, frameworks, and

observed behaviors shaping decisions by governments, corporations, and multilateral organizations in early 2026.

Key themes include the securitization of technology and trade policy, the resilience imperative driving industrial policy, persistent tensions over Taiwan, energy transition geopolitics, and the weakening of multilateral consensus mechanisms. Decision-makers are operating under conditions of heightened strategic uncertainty, with risk mitigation increasingly prioritized over efficiency optimization.

Context Snapshot — Why This Matters Now

Geopolitical analysis has moved from peripheral risk consideration to central strategic planning across sectors. Several structural shifts underpin this transition.

The United States and China remain locked in strategic competition across technology, trade, and military domains. According to the U.S. Department of Defense's 2022 National Defense Strategy, China represents the "pacing challenge" for U.S. security planning (<https://media.defense.gov/2022/Oct/27/2003103845/-1/-1/1/2022-NATIONAL-DEFENSE-STRATEGY-NPR-MDR.PDF>). Export controls on advanced semiconductors, imposed by the U.S. Bureau of Industry and Security in October 2022 and expanded in 2023, reflect the integration of national security logic into technology governance (<https://www.bis.doc.gov/index.php/policy-guidance/federal-register-notice>).

The conflict in Ukraine, ongoing since February 2022, has accelerated discussions about energy security, sanctions architecture, and alliance structures. The European Union's REPowerEU plan, published in May 2022, committed member states to reducing dependency on Russian fossil fuels and diversifying supply chains (https://energy.ec.europa.eu/topics/energy-security/repower-eu_en).

Supply chain resilience has become a policy priority. The U.S. CHIPS and Science Act, enacted in August 2022, authorized \$52 billion in subsidies for domestic semiconductor manufacturing (<https://www.congress.gov/bills/117/congress/house/bills/4346>). The European Union's Critical Raw Materials Act, proposed in March 2023, aims to secure access to minerals essential for technology and energy transition (https://ec.europa.eu/commission/presscorner/detail/en/ip_23_1661).

Multilateral institutions face coordination challenges. The World Trade Organization has not concluded a major multilateral trade round since 1995, and its dispute settlement mechanism has been non-functional since December 2019 due to U.S. opposition to appellate body appointments (https://www.wto.org/english/tratop_e/dispu_e/appellate_body_e.htm).

Attention to Taiwan has intensified. Military exercises by the People's Liberation Army around Taiwan have increased in frequency and scale since August 2022, following then-U.S. House Speaker Nancy Pelosi's visit to Taipei (<https://www.defense.gov/News/Releases/>).

These developments inform current decision-making frameworks.

What Geopolitics Is (Plain English)

Geopolitics describes the relationship between geography, power, and strategy in international relations. It encompasses how states and other actors compete for influence, resources, and security across physical and institutional domains.

In practical terms, geopolitics involves the interaction of national interests, alliance structures, territorial disputes, control over critical infrastructure, access to strategic resources, and the rules governing international commerce and security.

Contemporary geopolitics extends beyond traditional military and territorial concerns. Technology standards, semiconductor supply chains, undersea cables, critical minerals, and digital infrastructure now feature prominently in strategic planning. The securitization of technology means that products, platforms, and capabilities previously treated as commercial matters are increasingly subject to national security evaluation.

Common misunderstandings include the assumption that geopolitics is purely military or that economic interdependence prevents conflict. Historical evidence suggests interdependence can coexist with strategic rivalry. Another misconception is that geopolitical risk is binary—either present or absent. In practice, decision-makers navigate degrees of risk, uncertainty, and exposure across multiple dimensions simultaneously.

Geopolitics does not imply inevitability of conflict. It describes the structure of competition and the constraints under which actors operate.

Dominant Frameworks in Use

Several analytical frameworks shape how institutions approach geopolitical risk in 2026.

The strategic competition framework treats major power relations as fundamentally competitive rather than cooperative. This lens, adopted widely across U.S. defense and foreign policy institutions, assumes that China seeks to displace U.S. influence in Asia and globally. The framework emphasizes military modernization, technology leadership, and alliance coordination. It informs defense planning, technology export controls, and investment screening mechanisms.

The resilience and diversification framework prioritizes supply chain security over cost optimization. Policymakers and corporate strategists use this approach to identify single points of failure, geographic concentration risks, and dependencies on potentially adversarial suppliers. The framework drives reshoring, nearshoring, and friendshoring initiatives. It underpins industrial policy measures in semiconductors, pharmaceuticals, and critical minerals.

The great power competition framework, used by defense and intelligence communities, views international relations as a contest among major states for regional and global dominance. This framework emphasizes

relative gains over absolute gains, zero-sum dynamics in certain domains, and the role of military capability in shaping outcomes. It informs assessments of Taiwan contingencies, South China Sea disputes, and Arctic sovereignty questions.

The economic statecraft framework integrates economic tools—sanctions, export controls, investment restrictions, tariffs—into national security strategy. This approach, increasingly prevalent among G7 governments, treats economic policy as an instrument of geopolitical influence. It guides decisions on technology transfer, entity listings, and financial network access.

The institutional fragmentation framework recognizes the weakening of universal multilateral institutions and the rise of plurilateral groupings. Analysts using this lens track the formation of coalitions like the Quad, AUKUS, and various minilateral technology and security partnerships. It assumes that global governance increasingly occurs through selective clubs rather than inclusive institutions.

These frameworks are not mutually exclusive. Decision-makers often combine elements depending on context.

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The Dominant Logic at the Time

The prevailing logic among major actors in early 2026 rests on several core assumptions.

First, strategic competition between the United States and China is expected to persist across this decade. Neither side anticipates a return to the cooperative framework of the 2000s. U.S. National Security Advisor statements and Chinese Communist Party documents both describe the relationship in competitive terms, though each frames the competition differently.

Second, technology leadership is viewed as foundational to economic competitiveness and military advantage. Advanced semiconductors, artificial intelligence, quantum computing, biotechnology, and space capabilities receive policy attention and investment prioritization. The assumption holds that leadership in these domains confers strategic leverage.

Third, supply chain security is treated as a national security imperative. The COVID-19 pandemic exposed dependencies on concentrated suppliers, particularly in pharmaceuticals and medical equipment. Semiconductor shortages in 2021 disrupted automotive and electronics production globally. These experiences reinforced the view that efficiency gains from globalization carry vulnerability costs.

Fourth, military capability shapes diplomatic outcomes. This assumption drives defense spending trajectories, particularly in the Indo-Pacific region. According to the Stockholm International Peace Research Institute, global military expenditure reached \$2.24 trillion in 2022, with notable increases in Asia and Oceania (<https://www.sipri.org/publications/2023/sipri-fact-sheets/trends-world-military-expenditure-2022>).

Fifth, international institutions provide limited constraint on major power behavior. The United Nations Security Council remains deadlocked on major conflicts. The WTO's dispute mechanism is non-functional. This erosion of institutional effectiveness leads actors to pursue security and economic objectives through unilateral or minilateral mechanisms rather than multilateral consensus.

Sixth, Taiwan represents a critical flashpoint. U.S. policy statements emphasize commitment to Taiwan's defense capabilities under the Taiwan Relations Act. Chinese government statements assert sovereignty and reject external interference. Both sides prepare for contingencies while seeking to avoid escalation. The assumption among defense planners is that risk of conflict, while not inevitable, is non-negligible.

Seventh, energy transition creates new dependencies. The shift from hydrocarbons to renewable energy and batteries requires critical minerals concentrated in specific geographies. According to the International Energy Agency's 2021 report on critical minerals, achieving climate goals will increase demand for lithium, cobalt, nickel, and rare earth elements by factors of 4 to 6 by 2040 (<https://www.iea.org/reports/the-role-of-critical-minerals-in-clean-energy-transitions>). This concentration creates perceived vulnerability.

These assumptions form the basis for policy design, investment allocation, and risk management across public and private sectors.

Factors Influencing Decisions

Several structural forces shape the geopolitical environment in 2026.

Technological change continues to outpace regulatory frameworks. Artificial intelligence capabilities advance rapidly, creating uncertainty about military applications, information control, and economic disruption. Semiconductor manufacturing requires extreme capital intensity and specialized expertise, concentrating production in Taiwan, South Korea, and limited U.S. and European facilities. This concentration drives policy responses.

Economic interdependence coexists with strategic rivalry. According to U.S. Census Bureau data, China remained the third-largest U.S. trading partner in 2023, despite tariffs and export controls (<https://www.census.gov/foreign-trade/>). European firms maintain significant exposure to Chinese markets. This creates tension between economic interests and security considerations.

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Demographic and economic trajectories differ across major powers. China faces population aging and declining working-age population, according to United Nations population projections. The United States benefits from immigration and more favorable demographic trends. India's population surpassed China's in 2023, creating new regional dynamics.

Resource geography creates leverage points. Rare earth element production is concentrated in China, which supplied approximately 70% of global output as of 2022, according to the U.S. Geological Survey (<https://www.usgs.gov/centers/national-minerals-information-center/rare-earths-statistics-and-information>). Lithium deposits are concentrated in Australia, Chile, and Argentina. Natural gas pipelines create dependencies between suppliers and consumers.

Alliance structures remain asymmetric. The United States maintains formal alliances with over 60 countries through NATO, bilateral treaties in Asia, and the Rio Treaty. China has one formal defense treaty, with North Korea. This structural difference shapes strategic options.

Information control capabilities vary. According to Freedom House's Freedom on the Net 2023 report, internet freedom declined globally for the 13th consecutive year, with governments increasing censorship and surveillance (<https://freedomhouse.org/report/freedom-net>). This affects information flows, public opinion, and governance models.

Military modernization continues. The People's Liberation Army has expanded its navy to become the world's largest by hull count, according to the U.S. Department of Defense's 2023 China Military Power Report (<https://www.defense.gov/>). The United States maintains technological advantages in certain domains, including nuclear submarines and stealth aircraft.

Climate change creates new security dynamics. Arctic ice melt opens shipping routes and resource access, leading to increased military presence by Arctic states. Sea level rise threatens island nations and coastal infrastructure. Water stress affects South Asia, the Middle East, and parts of Africa.

These factors do not determine outcomes but constrain and enable different strategic choices.

Public Statements vs Observable Actions

Divergence between stated intentions and observable behavior provides insight into actual priorities.

On technology decoupling, U.S. officials describe policy as "de-risking" rather than comprehensive decoupling. Commerce Secretary Gina Raimondo stated in 2023 that the goal is to protect national security, not to separate economies entirely. However, observable actions include expanding semiconductor export controls, restricting U.S. investment in Chinese technology sectors, and pressuring allies to exclude Chinese telecommunications equipment. The scope of restrictions has widened beyond initial security-focused rationale.

On climate cooperation, the United States and China issued joint statements at COP26 in 2021 and COP28 in 2023 emphasizing shared interest in emissions reduction. Yet bilateral tension over Taiwan, trade, and technology has limited substantive coordination. Renewable energy manufacturing remains a point of economic competition, with both countries subsidizing domestic production.

On Taiwan, U.S. policy maintains "strategic ambiguity"—no formal commitment to defend Taiwan militarily, but no explicit ruling out of intervention. However, military assistance, diplomatic visits, and statements by officials increasingly signal commitment. Arms sales to Taiwan reached record levels in recent years, according to the Stockholm International Peace Research Institute arms transfer database.

On multilateralism, major powers publicly support rules-based international order while pursuing unilateral and minilateral arrangements. The G7 and EU emphasize multilateral cooperation in communiqués, yet industrial policy measures prioritize domestic and allied producers. China advocates for multilateralism while building alternative institutions like the Asian Infrastructure Investment Bank and the Belt and Road Initiative.

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On defense spending, NATO members committed to spending 2% of GDP on defense at the 2014 Wales Summit. As of 2023, 11 of 31 NATO members met this target, according to NATO official statements (<https://www.nato.int/>). European defense spending increased following Russia's invasion of Ukraine, with Germany announcing a major defense investment increase in 2022.

These gaps between rhetoric and action reflect competing pressures, domestic political constraints, and strategic signaling.

Common Misconceptions About Geopolitics

Several misunderstandings shape public discourse.

First, the belief that economic interdependence prevents conflict. Historical examples, including World War I, demonstrate that trade relationships do not guarantee peace. Current strategic competition occurs alongside substantial trade and investment flows. Economic ties create costs for conflict but do not eliminate underlying strategic tensions.

Second, the assumption that geopolitics is solely about military power. Contemporary strategic competition encompasses technology standards, financial systems, information control, and institutional influence. Cyber capabilities, semiconductor supply chains, and rare earth processing capacity function as instruments of leverage.

Third, the notion that alliances are permanent or automatic. Alliance commitments depend on shared interests, domestic politics, and perceived threats. Treaty obligations exist, but their activation is not mechanical. U.S. extended deterrence commitments in Asia differ from NATO's Article 5 collective defense obligation.

Fourth, the view that geopolitical risk is a temporary disruption to a normal state of cooperation. The period from roughly 1990 to 2008, characterized by relative great power cooperation and expanding globalization, appears increasingly as a historical exception rather than a stable equilibrium. Longer historical perspective suggests strategic competition is a recurring feature of international relations.

Fifth, the belief that technological superiority alone determines strategic outcomes. While technology matters, geography, demographics, institutional capacity, and alliance structures also shape power. Technological advantages can be fleeting, and diffusion occurs faster than in previous eras.

Sixth, the assumption that small states lack agency. Middle powers and smaller states exercise influence through coalition building, institutional positioning, and strategic choices about alignment. Singapore, the UAE, and South Korea navigate major power competition through careful balancing.

Seventh, the idea that geopolitics follows predictable cycles or laws. While patterns exist, contingency, leadership decisions, and unforeseen events shape trajectories. Deterministic frameworks often fail to account for uncertainty and human choice.

Understanding these misconceptions helps clarify the actual dynamics at play.

What to Watch Going Forward

Several near-term and medium-term indicators merit attention.

Near-term signals include Taiwan Strait military activity, semiconductor export control expansions, critical minerals supply agreements, and outcomes of elections in key democracies. The 2024 U.S. presidential election result will shape policy continuity or change. European parliamentary elections in 2024 affected EU-China policy dynamics.

Medium-term structural indicators include defense spending trajectories, particularly in Asia-Pacific nations. Japan's commitment to reach 2% of GDP on defense by 2027 represents a significant shift from post-World War II norms. Australia's AUKUS submarine program will take over a decade to implement but signals long-term strategic orientation.

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Technology developments require monitoring. Progress in artificial intelligence, quantum computing, and biotechnology will influence national security calculations. Semiconductor manufacturing capacity additions in the United States, Europe, and Japan, supported by industrial policy, will affect supply chain geography over 5 to 10 years.

Energy transition progress affects resource competition. Battery technology improvements, mining project timelines, and processing capacity development will determine future dependencies. The International Energy Agency projects that meeting climate goals requires tripling renewable energy capacity by 2030 (<https://www.iea.org/reports/world-energy-outlook-2023>).

Institutional developments bear watching. WTO reform efforts, IMF quota reviews, and United Nations Security Council debates reflect broader questions about global governance legitimacy and effectiveness. The expansion of BRICS membership in 2024 to include Argentina, Egypt, Ethiopia, Iran, Saudi Arabia, and the UAE signals emerging market dissatisfaction with existing institutions, though the grouping's policy coherence remains uncertain.

Climate-related security risks will manifest gradually. Water stress in South Asia, agricultural disruption in Sub-Saharan Africa, and Arctic competition will unfold over years rather than months. These slower-moving risks receive less immediate attention but carry significant long-term implications.

Financial system fragmentation deserves attention. Experiments with central bank digital currencies, cross-border payment systems bypassing SWIFT, and discussions of alternative reserve currencies indicate dissatisfaction with dollar dominance. Actual displacement would require decades, but direction of travel matters.

These indicators do not predict specific outcomes but signal trajectory and risk accumulation.

Conclusion

The dominant geopolitical frame in early 2026 centers on strategic competition, particularly between the United States and China, the securitization of technology and supply chains, and the fragmentation of multilateral governance.

Decision-makers across governments, corporations, and multilateral organizations operate under assumptions of persistent rivalry, heightened vulnerability to concentrated dependencies, and limited constraint from international institutions. Risk mitigation increasingly takes priority over efficiency optimization in strategic sectors.

This brief documents the prevailing logic at this point in time. It does not evaluate whether this logic is correct or will produce desired outcomes. Geopolitical dynamics remain subject to contingency, leadership decisions, technological change, and unforeseen events.

Future readers should interpret this document as a record of how reasonable actors were thinking in early 2026, given available information and perceived constraints. It captures a moment of strategic uncertainty and transition, not a settled equilibrium.

The frameworks, assumptions, and priorities described here will evolve. Some will prove prescient; others will appear misguided in hindsight. The purpose of this brief is to document the decision context as it exists now, providing a reference point for understanding how and why certain choices were made during this period.

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